

European Technology/Software

SAP SE

Rating

Outperform

Price Target

 **SAP.GR**

276.00 EUR



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SAP: From migration deadlines to migration economics

SAP's maintenance moat is weakening, but its installed base remains highly defensible. Building on our report two days ago, [SAP: The end of deadline-driven migration](#), which argued the European Commission ruling shifts bargaining power toward customers, we extend the analysis to assess the implications for maintenance economics and monetization. Our key conclusion is that **customer maintenance optionality - not revenue substitution - is the real risk**. While bargaining power shifts incrementally toward customers, we remain **Outperform**, as long-term value creation should depend more on cloud, AI and ecosystem monetization than on maintenance lock-in.

Customer leverage matters more than third-party support. At roughly \$1bn at most, the addressable revenue pool for third-party support providers remains small compared with SAP's €10.5bn maintenance business. The greater risk is increased customer negotiating power on maintenance, cloud pricing, migration incentives and contract terms.

The ruling creates multiple migration pathways. Rather than a linear ECC-to-S/4 transition driven by deadlines, customers now have more strategic options, including delayed migration, hybrid support models and selective use of third-party support. Migration timing and economics become more important than migration volumes.

Migration economics are becoming the key investor debate. Greater flexibility is likely to pressure pricing power through higher discounts, stronger incentives and lower maintenance pricing, even if migration demand remains intact.

Investment Implications

We remain Outperform. The ruling weakens SAP's contractual leverage but not its competitive position. ERP complexity, switching costs, AI, BTP and the broader SAP ecosystem should support continued conversion of the installed base into higher-value cloud relationships.

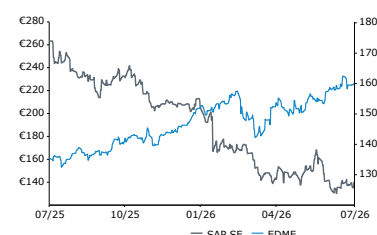
Adjusted EPS	F25A	F26E	F27E
SAP.GR (EUR)	6.10	7.54	9.02

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	36,800	40,638	46,491	12.4%
Operating Earnings (M)	--	--	--	--
Net Earnings (M)	--	--	--	--
Revenue/Share	--	--	--	--
Operating Margin (%)	--	--	--	--
Net Income Margin (%)	19.5	21.2	21.4	--
EPS Growth (%)	36.0	23.5	19.6	--

Close Date	16 Jul 2026			
SAP.GR Close Price (EUR)	140.70			
Price Target (EUR)	276.00			
Upside/(Downside)	96%			
52-Week Range	267.10/130.62			
EDME	1,598.24			
FYE	Dec			
Div Yield	1.8%			
Market Cap (EUR) (M)	172,851			
EV (EUR) (M)	171,173			
Performance	YTD	1M	6M	12M
Absolute (%)	(32.5)	(1.0)	(30.2)	(46.5)
EDME (%)	8.7	0.7	4.7	18.0
Relative (%)	(41.2)	(1.8)	(34.9)	(64.5)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

INVESTMENT SUMMARY

SAP's maintenance moat is becoming more contestable, but its installed base remains highly defensible. Following the European Commission's ruling on SAP's maintenance practices, we revisit a debate that has largely focused on migration volumes and third-party support disruption. Our key conclusion is that investors are asking the wrong question. The primary risk is not maintenance revenue displacement, but increased customer optionality and negotiating leverage. While the ruling incrementally shifts bargaining power toward customers, we remain **Outperform**, as SAP's long-term value creation should depend more on cloud, AI, and ecosystem monetization than on maintenance lock-in.

The real risk is pricing power, not revenue substitution. Investors often focus on whether third-party support providers can materially erode SAP's maintenance revenues. We believe the direct revenue opportunity remains modest relative to SAP's c. €10.5bn maintenance base. However, the presence of credible alternatives strengthens customers' hand in negotiations short-term, not only on maintenance renewals but also on cloud pricing, migration incentives, and contractual flexibility. The debate should therefore move from revenue disruption to pricing power.

SAP still controls when they end-of-life their software. While customers could shift maintenance temporarily, SAP decides when they will cease to support and upgrade the older versions of their software. This means that while a customer could temporarily shift ECC support to a third-party provider, once SAP ceases to support ECC the customer has the decision of using software that will no longer be upgraded or enhanced by the developer. This means that the software will age out relatively quickly unless the customer - or the customer in conjunction with third-party supports - takes on the responsibility for upgrading and enhancing the software which can be an expensive venture and places the customer at risk of missing legal or regulatory requirements and more exposed if accounting or business issues arise. We would argue that while customers may move short term the pending end-of-life is a major overhang and business risk that has not disappeared with this agreement.

Customers also assume competitive risks related to not leveraging AI. The other problem that customers who decide to switch to third-party support is that they lose the option of leveraging SAP's AI - the customer must instead develop those AI functionalities themselves which are likely going to be more expensive both initially and to support.

SAP's installed base remains resilient. The ruling lowers barriers to alternative support models but does not reduce ERP complexity, switching costs, customization dependence, regulatory requirements, or reliance on SAP's roadmap. Industry feedback points to coexistence rather than wholesale maintenance abandonment. SAP also retains important defenses through AI, Business Data Cloud, BTP, licensing expertise, and its broader application ecosystem.

The ruling creates multiple migration paths. The market has generally assumed a linear transition from ECC to S/4 driven by support deadlines. We see a broader set of strategic options, including immediate migration, negotiated migration, hybrid support arrangements, prolonged ECC usage, and eventual ERP replacement (which has a very low probability). Importantly, the ruling

changes the timing and economics of modernization decisions rather than the underlying need to modernize. Investors should focus less on whether customers migrate and more on when they migrate and under what terms.

Migration economics matter more than migration volumes. Greater customer maintenance flexibility is unlikely to change SAP's long-term migration opportunity, but it could pressure monetization through higher discounts (to expedite a customer's migration vs delaying longer and using third-party support temporarily), stronger incentives, and lower maintenance pricing. Given maintenance gross margins exceed 90%, even modest attrition could have an out-sized impact on earnings, shifting the debate from migration volumes to profit capture.

Investment conclusion. The ruling weakens SAP's contractual leverage, not its strategic position. The key question is no longer how many customers migrate, but how much value SAP captures from the transition. We believe SAP remains well positioned to convert its installed base into higher-value cloud relationships, supporting our **Outperform** rating despite greater customer optionality.

FROM MIGRATION DEADLINES TO CUSTOMER CHOICE

The European Commission's recent ruling on SAP's maintenance practices has fundamentally changed the economics of SAP's installed base. In our previous report, [SAP: The end of deadline-driven migration](#), we argued that the **ruling incrementally shifts some bargaining power toward customers** by allowing greater flexibility around support termination, landscape segmentation, and third-party support adoption. The debate is no longer whether customers will migrate to S/4, but when they migrate, under what commercial terms, and how much economic value SAP ultimately captures from the transition.

EXHIBIT 1: SAP ERP support deadline by software version

ERP software version	Mainstream maintenance (EoM)	Extended maintenance (EoE)	Default CSM on-premises	SAP Private Cloud offering S/4: SAP SafekeeperECC: SAP ERP private
ECC 6 EHP 0-5	2027	2027	2028	Not eligible
ECC 6 EHP 6-8	2027	2030	2031	SAP ERP, private edition, transition option 2033
S/4 Finance 1503 & 1605	2025	NA	2026	2029
S/4 1709	2022	2025	2026	2027
S/4 1809	2023	2025	2026	2027
S/4 1909	2024	2025	2026	2027
S/4 2020	2025	NA	2026	2027
S/4 2021	2026	NA	2027	2028
S/4 2022	2027	NA	2028	2029
S/4 2023	2030	NA	2031	2032

CSM: Customer-specific maintenance

Source: SAP, Gartner Group, Bernstein analysis

We believe the next phase of this debate is increasingly centered on SAP's maintenance revenues. Maintenance has historically been one of SAP's most attractive businesses: highly recurring, highly profitable (gross margin >90%), and strategically important because it reinforced the migration path from ECC toward S/4 and cloud offerings. SAP generated €10.5bn of support revenue in 2025, representing one of the largest maintenance revenue streams across enterprise software.

At first glance, the **threat from third-party support appears limited**. Based on our estimates, SAP-related third-party support revenues for on-premises ERP solutions such as ECC may total approximately \$1bn at best. Roughly half of this opportunity is likely already captured by specialist third-party support providers such as Rimini Street, Spinnaker Support, Support Revolution and Origina, while the remaining half is likely serviced through large IT services providers such as TCS, Infosys, Cognizant, Accenture and Capgemini. Relative to SAP's €10.5bn maintenance revenue base, this does not suggest a material displacement threat to SAP's overall revenue model.

However, we believe this interpretation misses the more important implication. The significance of third-party support is not the absolute size of the market. Rather, it is the **optionality that it creates for customers**. Historically, customers faced meaningful barriers to leaving SAP support, including reinstatement fees, back-maintenance obligations and the difficulty of applying different support models across different parts of their SAP estate. The Commission's ruling materially lowers those barriers and transforms third-party support from a niche cost-optimization strategy into a credible negotiating tool. But it does not remove the legal, regulatory or business risks associated with not receiving constant upgrades and enhances.

As a result, **customers now have a broader range of options than simply migrating to S/4 according to SAP's preferred timeline**. They can selectively apply third-party support across their landscape, potentially combine SAP support and third-party providers, extend the life of stable ECC environments, optimize maintenance spending, negotiate improved migration incentives, or delay modernization until technical debt and business readiness improve. Industry feedback reinforces this view, positioning third-party support not only as a substitute for SAP maintenance but also as a provisional, supplemental, or contingent mechanism that allows customers to modernize at their own pace.

The key question is therefore not how much revenue third-party providers can capture from SAP. We think that the more important question is how customer behavior changes when maintenance is no longer an all-or-nothing decision. In this note, **we examine the range of strategic paths available to SAP customers following the ruling, assesses which customer segments are most likely to adopt each option, evaluates the potential implications for SAP's maintenance economics, and analyzes the actions SAP can take to mitigate these risks and preserve long-term value creation**.

THE EUROPEAN COMMISSION RULING CHANGES THE BALANCE OF POWER

Historically, SAP maintenance was more than a support contract. It functioned as a strategic mechanism that reinforced customer dependence on the SAP ecosystem and increased the likelihood of an eventual migration to S/4. The value of maintenance was therefore not limited to incident resolution or software updates; it also helped secure SAP's future product adoption.

The recent European Commission ruling weakens this mechanism. While the decision does not fundamentally alter SAP's product strategy or customer relationships overnight, it reduces SAP's ability to use maintenance policies as a lever to influence long-term customer decisions. As a result, maintenance becomes less of a pathway that naturally leads customers toward S/4 and more of a service element that must compete on its own merits. It does not remove the incentives relating to constant product enhancements that using SAP rather than third parties.

WHY THIS MATTERS

The key implication is not that customers will suddenly abandon SAP support, in our view. Most SAP environments remain mission-critical, and the switching costs associated with ERP systems remain substantial. Rather, **the ruling incrementally changes the balance of power between SAP and its customers.**

Historically, organizations considering third-party support faced significant barriers. Reinstatement fees, back-maintenance payments, and restrictions on partial support arrangements increased both the financial and operational risks of leaving SAP maintenance. As a result, many customers remained within the SAP support framework even when they were dissatisfied with support costs or uncertain about their migration plans.

The ruling reduces several of these frictions. Customers now have greater flexibility to evaluate alternative support models without necessarily making an irreversible commitment. The cost of experimentation declines, and support decisions become more reversible.

For investors, we believe this distinction is important. The debate is not about immediate maintenance revenue losses. The more significant issue is that **maintenance becomes less effective as a forcing function that nudges customers toward SAP's preferred roadmap.** SAP will increasingly need to justify the economic and technological benefits of remaining within its ecosystem rather than relying on contractual constraints that limit customer choice.

In other words, **customer retention becomes more dependent on value creation and incrementally less dependent on switching friction.**

A STRUCTURAL SHIFT IN CUSTOMER NEGOTIATING POWER

The ruling also changes how customers approach support procurement. Previously, support decisions were often made at the enterprise level. Organizations typically maintained a single relationship with SAP support across their entire SAP landscape because deviating from this model created complexity and additional costs. This gave SAP significant negotiating leverage.

Customers now have greater freedom to adopt a more selective approach.

Large enterprises can increasingly evaluate different support models for different portions of their SAP estate. Core systems that require close alignment with SAP's innovation roadmap may remain under SAP support, while more mature or stable environments may be considered for alternative support arrangements. The result is a more granular, portfolio-based approach to support management.

This flexibility alters the negotiating dynamic. Customers no longer face a binary choice between remaining fully under SAP maintenance and exiting SAP support entirely. Instead, they gain the ability to evaluate support options system by system and contract by contract.

MAINTENANCE BECOMES A TACTICAL DECISION

We believe one of the most important consequences of the ruling is that support choices become more tactical and reversible (at least until SAP ends-of-life the version of the software the customer is using). Under the previous framework, moving to third-party support was often perceived as a one-way decision. The potential costs and administrative complexity associated with returning

to SAP support created a strong deterrent against experimentation.

As these re-entry barriers decline, organizations gain more flexibility to reassess support arrangements over time. Companies can potentially use third-party support during specific phases of their ERP lifecycle and later reconsider their options as business needs evolve. Note that once SAP ends-of-life the customer's current version of the software the economics and complexity of migration could change / become expensive.

This changes the nature of the decision. **Support is no longer necessarily a permanent strategic commitment.** Instead, it **increasingly becomes a tactical procurement choice that can be adjusted as circumstances change.**

IMPLICATIONS FOR SAP

Taken together, these changes do not suggest a near-term exodus from SAP maintenance. ERP systems remain highly embedded, and customers still depend on SAP for innovation, compliance updates, and future roadmap alignment.

However, the ruling does reduce SAP's structural leverage.

Customers gain additional bargaining power because they have more credible alternatives and face lower switching frictions. Even when they ultimately remain with SAP support, the mere existence of a viable alternative strengthens their negotiating position.

As a result, maintenance evolves from a mechanism that helped lock customers into SAP's future roadmap into a negotiation tool that customers can actively use to secure better pricing, contractual terms, or migration conditions.

The broader investment implication is therefore subtle but meaningful: **SAP's ability to influence customer behavior through purely the maintenance contracts weakens**, while customer leverage in commercial negotiations increases. Future migrations to S/4 are likely to depend increasingly on the attractiveness of SAP's value proposition rather than on the costs associated with leaving the maintenance framework. That said, once end-of-life occurs the company has taken on all the responsibility and legal / regulatory risks associated with using a manufacturer's no longer supported ERP solution. For some this will be acceptable, but for most this risk is not worth the rewards. Note that to an extent this option has always existed.

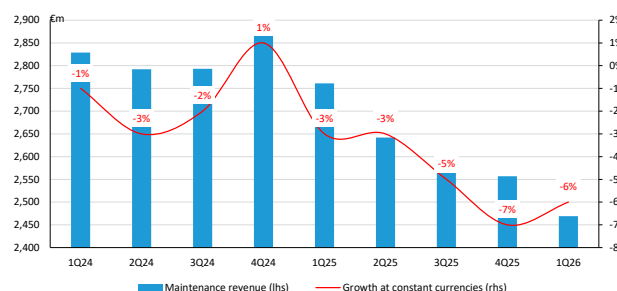
THE REAL THREAT IS CUSTOMER MAINTENANCE OPTIONALITY, NOT THIRD-PARTY SUPPORT

We believe that the central risk to SAP is not Rimini Street, Spinnaker, Support Revolution, Origina, or any other third-party support provider in isolation. The real risk is the growing maintenance optionality available to customers.

Investors often frame the discussion around whether third-party providers can meaningfully erode SAP's maintenance revenue base. This may be the wrong question, in our view. The more important issue is that customers now have credible alternatives to SAP's traditional support model. Even if only a limited number of customers ultimately switch providers, the mere existence of those alternatives incrementally changes the balance of power in customer negotiations.

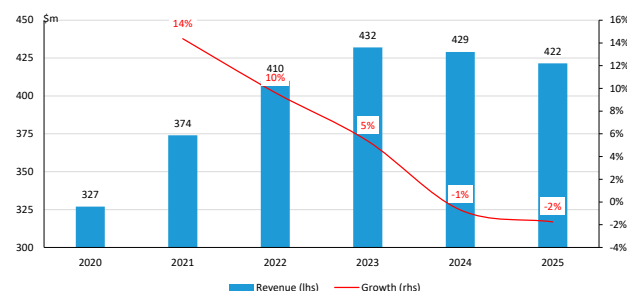
In other words, **the threat is not the size of the third-party support market itself. The threat is the leverage that the existence of that market creates.**

EXHIBIT 2: SAP: Maintenance revenue



Source: SAP (FY to end-December), Bernstein analysis

EXHIBIT 3: Rimini Street: total revenue



Source: Rimini Street (FY to end-December), Bernstein analysis

WHY THIS MATTERS

The investment debate frequently focuses on specialist vendors. This naturally leads investors to assess the potential revenue that these companies could capture from SAP.

However, even under our relatively optimistic scenarios, the addressable SAP-related third-party support market appears small compared with SAP's maintenance business. Based on our estimates, third-party support revenues linked to SAP customers may ultimately reach approximately \$1bn (a good portion of which is already with third parties), versus SAP's maintenance revenue base of roughly €10.5bn.

Viewed purely as a revenue substitution issue, the direct impact therefore appears limited. Third-party support providers are unlikely to replace a substantial portion of SAP's maintenance revenues.

The more significant consequence is indirect rather than direct.

As customers gain access to credible alternatives, they improve their bargaining position when dealing with SAP. The value created by third-party support providers may therefore extend well beyond the revenues those providers generate themselves.

THE SHIFT FROM REVENUE RISK TO PRICING POWER RISK

Historically, customers had limited alternatives once they became deeply embedded in SAP environments. The combination of technical complexity, mission-critical processes, and high switching costs often left customers with few realistic options. The average lifecycle of a SAP ERP system is more than 20 years.

The emergence of a viable third-party support ecosystem changes this dynamic.

Customers can now use alternative support offerings as leverage when negotiating:

- Migration incentives and transition support.

- Cloud subscription pricing.
- Maintenance fee increases.
- Contract duration and flexibility.
- Implementation and transformation support.

Importantly, customers do not need to leave SAP for this leverage to have economic value. **A customer that remains entirely within the SAP ecosystem may still be able to secure better commercial terms simply because an alternative exists.**

This distinction is critical, in our view. The economic impact on SAP could exceed the additional revenues ultimately captured by third-party support vendors themselves. A relatively small third-party support market can still influence pricing discussions across a much larger installed base.

WHY INVESTORS SHOULD FOCUS ON OPTIONALITY

From an investor perspective, the key question is therefore not whether third-party support providers can become large businesses. Rather, the question is whether they can become sufficiently credible alternatives to influence customer behavior.

A customer only needs an option - not necessarily an intention - to switch.

If customers can credibly demonstrate that they have alternatives, SAP may face greater pressure to offer concessions, discounts, migration incentives, or more flexible contractual arrangements. The resulting effect would be felt through pricing power and commercial negotiations rather than through a large-scale loss of maintenance customers.

This shifts the debate away from market-share transfer and toward competitive dynamics within the installed base.

INVESTMENT IMPLICATIONS

The long-term investment risk is therefore not that third-party support providers replace SAP maintenance at scale. **The available market opportunity appears too small for that outcome to be the primary concern, in our view.**

The more relevant risk is that these providers increase customer choice and strengthen customer negotiating power. As optionality rises, SAP may retain its customers while generating incrementally lower economic value from each relationship than would otherwise have been possible.

For investors, this **transforms the discussion from a revenue-disruption story into a pricing-power story.** The ultimate significance of third-party support may not be measured by the revenues it captures, but by the negotiating leverage it creates across SAP's broader customer base.

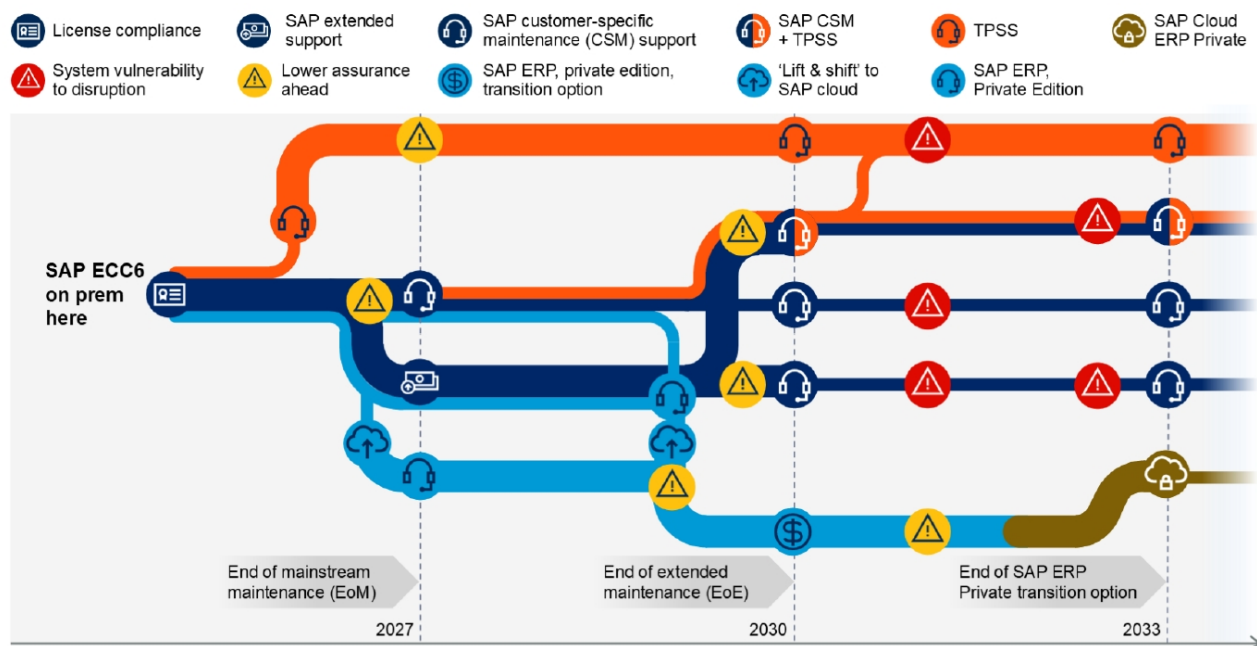
FIVE STRATEGIC PATHS FOR SAP CUSTOMERS

The European Commission ruling fundamentally changes the range of options available to SAP ECC customers. The market narrative has largely assumed a relatively linear journey from ECC to S/4, with customers progressively migrating as SAP's support deadlines approached. The ruling challenges this assumption by improving the legal and commercial foundations of third-party support service (TPSS), thereby expanding the set of viable strategic choices available to customers (Exhibit 4).

Importantly, **the ruling does not alter the underlying technical realities of ERP modernization**. Customers must still decide how and when to address aging ERP environments, customizations, integrations, and digital transformation requirements. **What changes is that organizations now have greater flexibility over the timing, economics, and execution of those decisions.**

As a result, we believe investors should think about the SAP installed base as following multiple potential pathways rather than a single migration trajectory. These pathways vary significantly in their implications for SAP's migration velocity, pricing power, maintenance revenues, and long-term customer retention.

EXHIBIT 4: Options for continuing SAP ECC support



Source: Gartner Group (March 2026)

PATH 1: IMMEDIATE MIGRATION TO S/4

Customer profile

This path is most likely to be followed by customers with relatively low technical debt, manageable customization levels, and a clearly defined business case for S/4. These organizations typically view ERP modernization as a strategic priority and are already investing heavily in broader digital transformation initiatives.

Why customers choose this path

For these customers, the European Commission ruling changes little. While third-party support may become more attractive from a legal and economic perspective, it does not materially alter the strategic rationale behind migration.

The primary drivers remain access to SAP's latest innovation roadmap, embedded AI capabilities, cloud-native functionality, enhanced analytics, and the opportunity to simplify operating models. For organizations seeking to modernize processes and accelerate business transformation, these benefits often outweigh potential savings from remaining on ECC.

In other words, the ruling affects support economics but does not necessarily change the attractiveness of SAP's cloud ERP proposition.

Investor implications

This cohort presents the lowest risk to SAP. Migration proceeds broadly as expected, and SAP continues converting maintenance revenues into cloud subscriptions. While the ruling may slightly strengthen customers' negotiating positions, it is unlikely to materially change migration behavior for this group.

PATH 2: USE THE RULING TO NEGOTIATE BETTER MIGRATION TERMS

Customer profile

These customers intend to migrate to S/4 but seek better commercial terms before committing to large-scale transformation projects. Their objective is not to remain on ECC indefinitely, but rather to improve the economics of the migration journey.

Why customers choose this path

This is likely to be the largest customer cohort, in our opinion, out of our roughly estimated 17.5k ECC clients yet to be migrated to S/4.

Many organizations have already accepted that an eventual move to S/4 is necessary. However, they now possess a stronger alternative option than previously assumed. The availability of a more credible TPSS (third-party support service) route gives customers additional leverage in negotiations with SAP.

As a result, customers may seek lower migration costs, increased incentives, maintenance discounts, contractual flexibility, free capabilities / usage or seats, or stronger pricing protections. The ruling effectively improves their bargaining position by reducing the urgency that historically favored SAP in commercial discussions.

The key point is that these customers are not rejecting migration. Rather, they are attempting to improve the economic terms under which migration occurs.

Investor implications

For SAP, we believe this scenario may represent a greater risk than outright TPSS adoption.

If customers ultimately migrate but do so under more favorable commercial conditions, SAP may preserve migration volumes while experiencing pressure on pricing, discount levels, or contract economics. Consequently, investors should focus not only on migration rates but also on the potential implications for average contract value and long-term profitability.

PATH 3: CUSTOMER-SPECIFIC MAINTENANCE (CSM) COMBINED WITH THIRD-PARTY SUPPORT SERVICE (TPSS)

Customer profile

This path is most relevant for organizations operating large, highly customized ECC environments where migration remains technically challenging or operationally risky. These customers often face substantial application complexity and require additional preparation before undertaking a major ERP transformation.

Why customers choose this path

This pathway represents one of the most important strategic implications highlighted in our discussions with SAP customers and consulting companies.

Historically, third-party support has often been viewed as a substitute for SAP maintenance. However, industry consulting firms increasingly frames Customer-Specific Maintenance (CSM) combined with TPSS as a mechanism for buying time while simultaneously preparing for future modernization.

Under this approach, customers use alternative support arrangements to reduce cost pressures and operational risk while gradually addressing technical debt, rationalizing customizations, and developing a longer-term transformation strategy.

Viewed through this lens, TPSS becomes less of an endpoint and more of a transition tool (Exhibit 5). It serves as an assurance mechanism that enables customers to defer difficult migration decisions without losing support coverage.

Investor implications

This scenario primarily delays migration rather than preventing it.

For SAP, we believe the risk lies in slower migration velocity and revenue conversion, rather than permanent customer loss. Revenue timing may shift, but a meaningful proportion of these organizations could ultimately move to S/4 once their environments have been sufficiently simplified.

EXHIBIT 5: Various support routes for SAP on-premises ERP by TPSS role, tech debt, and approach to risk

TPSS Assurance Role	Cost saving	Cost cautious	Risk cautious	Risk adverse	Max assurance
Junction 1	T1	A1	A1	A1	A1
Junction 2	-	B1	B1 + T2	A1	A1 + T2
Junction 3	-	T3	B1 + T2	B1 + T2	B1 + T2
Substitute	✓	✓	✗	✗	✗
Provisional	✓	✓	✓	✓	✗
Supplement	✗	✗	✓	✓	✓
Contingent	✗	✗	✓	✓	✓
Navigation					
Route profile	• Reduce support costs • Continued use of ECC indefinitely • Exit SAP relationship	• Avoid support premiums • Prepare for multi-party RACI • Manage SAP relationship	• Avoid support premiums • Enact multi-party RACI • Retain SAP relationship	• Reduce disruption to operations • Prepare for multi-party RACI • Retain SAP relationship	• Prioritize lowest risk over cost • Establish multi-assurance • Retain SAP relationship

Source: Gartner Group (June 2026)

PATH 4: SIGNIFICANT EXTENSION OF ECC USAGE

Customer profile

These customers operate relatively stable ERP environments and struggle to establish a compelling business case for S/4 migration. They often face significant customization complexity, integration challenges, or organizational fatigue following previous transformation programs.

Why customers choose this path

For many organizations, the perceived benefits of migration remain uncertain relative to the cost, complexity, and disruption involved.

Common concerns include extensive custom development, deeply embedded integrations, unclear return on investment, and limited business demand for new ERP capabilities. The European Commission ruling potentially strengthens the feasibility of maintaining ECC environments for longer periods through alternative support arrangements.

Importantly, we estimate that a substantial number of SAP customers may still rely on ECC environments by 2030. This could represent approximately 9-10k customers vs 18.5k at end-1Q26, based on our current projection (Exhibit 7). While the exact migration timing will vary by customer, this observation suggests that delayed modernization remains a realistic outcome for a meaningful portion of the installed base.

Investor implications

This represents, in our view, the most negative scenario for SAP's migration velocity.

Customers remain within the SAP ecosystem, but migration timelines extend materially. The result is slower conversion of the ECC installed base into higher-value cloud contracts and a potential reduction in near- and medium-term migration-related revenue expectations.

PATH 5: LONG-TERM EXIT FROM SAP

Customer profile

This group consists of organizations pursuing a broader ERP replacement strategy or customers that have become strategically dissatisfied with their SAP environment. Rather than viewing S/4 as the next step, they are evaluating alternative ERP platforms altogether.

Why customers choose this path

For these customers, TPSS may function as a bridge to a complete ERP replacement. The availability of extended support options reduces time pressure and allows organizations to evaluate alternative vendors without immediately committing to SAP's migration roadmap.

That said, replacing SAP remains an exceptionally complex, expensive and time-consuming undertaking. Large SAP deployments are typically characterized by extensive process integration, deep business customization, and significant organizational dependence. These factors create substantial switching costs and implementation risks.

As discussed earlier in this report, SAP's competitive moat is primarily derived from application complexity, embedded business processes, and customer-specific customizations (which are far more limited with competitive solutions) rather than from maintenance contracts alone. The European Commission ruling may weaken one component of the SAP commercial model, but it does not materially reduce the underlying complexity of ERP replacement.

Investor implications

We believe this represents the highest-risk scenario for SAP because it ultimately results in customer attrition rather than migration.

However, it is also likely to be the smallest cohort. Moving from SAP to an entirely new ERP platform is typically far more disruptive, expensive, and risky than switching maintenance providers. Consequently, while the ruling may increase customer optionality, it does not automatically translate into large-scale ERP replacement activity.

KEY INVESTOR TAKEAWAYS

The most important conclusion from the European Commission ruling is not that customers will abandon SAP, but that customer behavior is likely to become more heterogeneous. The ruling introduces additional strategic options between immediate migration and outright exit.

As a result, we think that the primary risk for SAP may not be a collapse in migration demand, but rather a combination of slower migration velocity and increased customer negotiating leverage. Investors should therefore focus less on whether customers migrate and more on when they migrate and under what commercial terms. The ruling expands customer choice, but it does not eliminate the fundamental barriers to ERP replacement that underpin SAP's competitive position.

WHY SAP'S INSTALLED BASE REMAINS DEFENSIBLE

The European Commission ruling expands customer flexibility and strengthens their ability to select third-party support providers. However, it does not eliminate the fundamental trade-offs associated with reducing or terminating a direct relationship with SAP. While the ruling lowers legal and commercial barriers to adopting third-party support, customers must still assess the operational, technical, and strategic implications of moving away from SAP's maintenance ecosystem.

WHY THIS MATTERS

We believe these factors are critical to maintaining a balanced assessment of the post-ruling landscape. Focusing exclusively on the benefits of third-party support risks overstating the extent to which SAP customers can realistically disengage from the vendor.

Industry feedback consistently emphasizes that third-party support solutions, while attractive in many situations, are not perfect substitutes for SAP maintenance. The decision to move away from SAP support involves both benefits and compromises. As a result, the ruling should not be interpreted as making SAP maintenance obsolete, but rather as providing customers with greater negotiating leverage and a wider range of support options.

Understanding these limitations is essential for assessing the likely long-term impact on SAP's maintenance revenues and the realistic adoption potential of third-party support providers (TPSS).

THIRD-PARTY SUPPORT DOES NOT FULLY REPLICATE SAP'S VALUE PROPOSITION

A key distinction highlighted in our conversations with customers and industry contacts is that third-party support providers cannot fully replicate SAP's role as the software vendor and product owner.

SAP maintains direct responsibility for product engineering, software development, and the future evolution of its applications. Customers retaining SAP maintenance preserve direct access to the vendor's engineering organization, product roadmaps, development priorities, and technical guidance. This relationship can be particularly important for organizations running highly customized environments or planning significant platform transformations over time.

Third-party support providers can often resolve operational issues with the current software, troubleshoot incidents, and provide maintenance / bug fix assistance. However, they do not control the underlying software codebase and therefore cannot offer the same level of influence over product development, enhancement requests, or future release planning.

THERE ARE SEVERAL AREAS OF POTENTIAL RISKS

We believe there are a number of considerations that customers must evaluate before replacing SAP maintenance with third-party support.

- **Kernel modifications and core technical issues.** Certain technical challenges involving SAP's core software architecture may still require interaction with SAP itself. Organizations must understand the boundaries between issues that can be resolved by a third-party provider and those that may ultimately require vendor involvement.
- **Security patching.** Security updates remain a key consideration. Customers leaving SAP maintenance may lose access to SAP-delivered security corrections and must evaluate how their chosen support provider addresses emerging vulnerabilities and evolving cybersecurity requirements.
- **Regulatory and compliance updates.** In many jurisdictions, ERP systems require ongoing updates to reflect changes in tax, reporting, payroll, and regulatory requirements. Customers must ensure that alternative support arrangements can adequately address these obligations over time.
- **Technical debt accumulation.** Organizations that remain on older SAP releases for extended periods may benefit from lower maintenance costs, but they also risk increasing technical debt. Over time, delaying upgrades can make future modernization projects more costly, complex, and disruptive.

- **Governance and operational complexity.** Managing separate relationships with SAP and third-party support providers may introduce additional governance requirements. Organizations must clearly define responsibilities, escalation paths, contractual obligations, and risk ownership to avoid operational gaps.

EXHIBIT 6: Risk comparison of postpone vs premature modernization of SAP ERP solutions

Risk category	Postpone off-premises or modernization (ECC with CSM+TPSS)	Premature op-model modernization ECC on private cloud	Premature S/4 software modernization (SAP Cloud ERP Private)
Inherent	- ERP: Assurance from CSM support gaps: legal updates, software and compatibility. - Business model: Relative competitive advantage, and market / product agility.	- Landscape: Ecosystem reintegration, security, data egress / connectivity, platform restrictions, change of ownership / control, new architecture. - ERP management: Built-in support service SLA (service level agreement), terms and conditions, response, change / incident escalation, BASIS (Business Application Software Integrated Solution), customization mandates, egress and variable consumption charges and controls. - Organizational: Lack of internal commitment, transformation fatigue, business process redesign, change management, innovation mapping.	- Core system components: System performance, interfaces, custom extensions, clean-core initiatives, and vendor control. - Business case: Unidentified productivity gains, unverified costs, tangible benefits or efficiency gains, insufficient new technology use-cases.
Reduce with preparation	- Multi-party support inefficiencies and risks with responsibilities and accountability. - Unclear roles and responsibilities. - Multi-party conflict. - Security breaches triggered by TPSS changes rendering SAP security patches ineffective.	- Unplanned disruption moving ERP. - (Un)scheduled outage / disruptions. - Lack of future scalability, usage, or total cost of operation modeling. - Unprepared changes. - Unvalidated future-state architecture. - Long-term price protection / exit viability.	- Underestimated resources / impact: Operational overheads, technical debt, upgrades, feature enablement, and change requests. - Insufficient agility for biennial major upgrades. - Excessive customizations to access SAP innovation line. - Reduced cost benefit of new features by customizations. - Insufficient user / system and overhead cost control. - Unclear total cost of operation and illusive ROI.

BASIS: the technical foundation for all SAP applications, acting as middleware between the operating system, database, communication protocols, and business modules.

Source: Gartner Group (March 2026), Bernstein analysis

WHY COEXISTENCE IS THE MOST LIKELY OUTCOME

Taken together, we believe these considerations suggest that the European Commission ruling is more likely to accelerate selective adoption of third-party support than to trigger widespread abandonment of SAP maintenance.

Many organizations will continue to value direct access to SAP's engineering expertise, product innovation, and long-term roadmap. At the same time, the ruling increases the attractiveness of third-party support for stable, mature environments where customers prioritize cost savings and have limited need for new SAP functionality and SAP upgrades / enhancements.

As a result, the most probable outcome is, in our view, not a wholesale replacement of SAP maintenance, but a coexistence model in which customers deploy third-party support selectively based on the characteristics of individual systems, business requirements, and transformation plans. In this scenario, the ruling strengthens customer choice and competitive dynamics within the support market, while preserving an important role for SAP's own maintenance offerings.

HOW SAP CAN PRESERVE ITS ECONOMIC MOAT

The European Commission ruling does not eliminate SAP's maintenance business, but it changes the competitive landscape. Historically, the maintenance model benefited from a combination of contractual dependence, operational risk, and the cost of leaving the SAP ecosystem. The ruling weakens one of these pillars by increasing customers' ability to seek alternatives. As a result, SAP's response is unlikely to rely on legal arguments alone. Instead, we think the company must reinforce the economic, technological, and strategic advantages of remaining within the SAP ecosystem.

In this new environment, SAP's defense strategy can be viewed, in our opinion, through five complementary pillars.

PILLAR 1: MAKE MIGRATION ECONOMICALLY ATTRACTIVE

The ruling reduces the urgency that previously pushed some customers toward S/4 migration. If customers can more easily rely on third-party support providers while remaining on ECC, the migration decision becomes less about deadlines and more about economics.

As a result, SAP must strengthen the financial rationale for moving to S/4 rather than relying on end-of-support milestones alone. The objective is to ensure that customers view migration as a value-creating investment rather than merely a compliance exercise.

This implies increasing the perceived benefits of modernizing, including productivity improvements, operational simplification, access to new functionality, and tighter integration with SAP's cloud products. The stronger the economic case becomes, the less relevant the availability of third-party support providers will be. As we have discussed in a number of our notes on the threat of AI, one of the key answers herein is the same - innovation is critical. One of the key pillars is SAP needs to continue to be innovative and bring new and valuable capabilities to their offerings (both AI and non-AI).

In other words, the competitive battleground shifts from forcing migration through timing pressure to encouraging migration through superior economics.

PILLAR 2: DIFFERENTIATE THROUGH AI

AI may ultimately become SAP's most important strategic defense against third-party support providers.

Third-party support firms can maintain existing SAP environments and help customers reduce maintenance costs (potentially up to 50%, according to Rimini Street). However, they cannot replicate SAP's research and development capabilities, nor can they offer the same access to innovations developed across SAP's product portfolio.

This is where assets such as Joule, SAP Business Technology Platform (BTP), and SAP Business Data Cloud become increasingly important, in our view. These products extend value beyond ERP maintenance and position SAP as a platform for future business transformation.

The key question for customers increasingly becomes: can an organization remain on ECC indefinitely while still pursuing its long-term AI ambitions?

If AI-driven automation, intelligent workflows, agent-based processes, and enterprise-wide data integration become strategic priorities, customers may conclude that remaining on legacy ERP systems creates opportunity costs that outweigh maintenance savings. Under such a scenario, AI becomes not only a growth driver for SAP but also a powerful retention mechanism for its installed base.

PILLAR 3: EXPAND SUPPORT BEYOND TRADITIONAL MAINTENANCE

Another potential response is to redefine what support actually means.

Historically, maintenance has focused primarily on software updates, bug fixes, regulatory changes, and technical assistance. Many of these services are increasingly vulnerable to commoditization and price competition.

SAP can respond by elevating support into a broader strategic engagement that extends well beyond traditional maintenance activities. This could include transformation support, cloud migration assistance, architecture advisory services, and AI

enablement programs.

The objective is to shift customer conversations away from maintenance costs and toward business outcomes. The more closely support becomes linked to digital transformation initiatives, the more difficult it becomes to compare SAP directly with lower-cost third-party support providers.

Ultimately, SAP's goal is to transform support from a transactional service into a strategic partnership.

PILLAR 4: USE LICENSING COMPLEXITY AS A DEFENSIVE MOAT

While the ruling may weaken SAP's leverage in maintenance, we believe it does not eliminate SAP's influence over licensing.

Enterprise software licensing remains complex, particularly in areas such as Digital Access, indirect access, Full Use Equivalent (FUE) licensing models, AI-agent interactions, and compliance management. These are domains where SAP retains deep knowledge of its own contractual frameworks and technical architecture.

For many customers, managing licensing obligations can be as important as managing maintenance costs. Misunderstandings or compliance issues can create financial and operational risks that extend well beyond annual support fees.

Consequently, SAP may increasingly leverage its expertise in licensing optimization, compliance assurance, and governance as a way to strengthen customer relationships. Even if support becomes more competitive, licensing complexity remains an area where SAP retains meaningful influence.

The implication is straightforward: support leverage may decline, but licensing leverage remains largely intact.

PILLAR 5: INCREASE VALUE PER CUSTOMER

A final line of defense is, in our opinion, to focus less on protecting maintenance revenue itself and more on increasing total customer spending across the broader SAP ecosystem.

Even if a portion of maintenance revenue comes under pressure, SAP can offset some of the impact by expanding adoption of higher-value products and services. These may include S/4 Cloud, SAP Business Technology Platform, SAP Business Data Cloud, Joule, and other adjacent applications, especially in supply chain management.

Under this approach, the objective is not necessarily to preserve every euro of maintenance revenue. Instead, it is to increase overall customer lifetime value by capturing a larger share of the customer's technology budget.

As SAP broadens its portfolio and deepens integration across applications, data, analytics, and AI, the strategic focus shifts from defending maintenance share to expanding wallet share.

CONCLUSION

The court ruling may increase competitive pressure on SAP's support business, but it does not fundamentally weaken the company's broader strategic position. SAP's most effective response is likely to move beyond maintenance and emphasize the advantages of its wider ecosystem.

The company's defense rests on five pillars: making migration economically compelling, differentiating through AI innovation, expanding support into transformation services, leveraging licensing expertise, and increasing value per customer through cross-selling and platform adoption. Collectively, these initiatives shift the conversation away from maintenance pricing and toward long-term business value.

Ultimately, SAP's ability to defend the maintenance pool will depend less on contractual lock-in and more on its ability to convince customers that the future value available within the SAP ecosystem exceeds the savings offered by third-party support alternatives.

THE NEW INVESTOR DEBATE: MONETIZATION, NOT MIGRATION

The European Commission ruling does not change the direction of travel for SAP's installed base. Customers will continue to move toward newer platforms over time, and SAP remains the dominant strategic vendor for most enterprise environments. What the ruling changes is the balance of power between SAP and its customers. As a result, the key investment debate is no longer primarily about whether customers will migrate. It is increasingly about how much economic value SAP can capture from each migration journey.

Historically, investors focused on the size and conversion of the ECC installed base. The central question was straightforward: *how many ECC customers will ultimately migrate to SAP's cloud portfolio?* While that question remains relevant, the more important issue today is whether SAP can preserve pricing power and monetization as customers gain additional flexibility over maintenance and migration decisions.

This shift reframes the investment case around four key questions.

DOES GREATER CUSTOMER FLEXIBILITY SLOW MIGRATION?

The ruling clearly expands the set of options available to SAP customers. Organizations now have more flexibility in determining how they support and operate existing SAP environments, particularly where older ECC systems remain in production.

At first glance, greater flexibility could reduce migration urgency. If customers perceive that they have credible alternatives to SAP maintenance, some may feel less pressure to accelerate cloud transitions. The availability of third-party support can help extend the economic life of existing installations and may allow certain customers to defer large transformation projects.

However, the existence of additional options should not automatically be confused with a structural decline in migration demand. For many enterprises, the migration decision is driven by broader business and technology objectives rather than maintenance costs alone. Modernization, data integration, process standardization, AI adoption, and access to new functionality remain important reasons to move to newer SAP platforms.

The ruling therefore appears more likely to influence the timing and commercial terms of migrations than to fundamentally alter their long-term destination. The key question for investors is not whether migrations stop, but whether customers can negotiate from a stronger position throughout the migration process.

DOES THIRD-PARTY SUPPORT SERVICE CREATE PRICING PRESSURE?

The emergence of a larger and more credible third-party support ecosystem is likely to introduce additional pricing pressure into SAP's maintenance business, even if direct revenue substitution remains limited.

Third-party providers do not need to capture a large share of SAP's maintenance revenue to have an impact. Their competitive relevance comes from providing customers with an alternative. The existence of that alternative can strengthen customer negotiating power during maintenance renewals, contract discussions, and cloud migration negotiations.

As a result, the economic implications may extend beyond the direct revenue that migrates to TPSS providers. The more important effect could be a gradual increase in customer leverage. Even customers that remain entirely within the SAP ecosystem may be able to negotiate more favorable commercial terms, longer transition periods, or additional incentives during cloud adoption.

For investors, the critical issue is therefore not the absolute size of the TPSS market. Rather, it is the extent to which increased competition reduces SAP's ability to maximize revenue and pricing across its installed base.

CAN SAP MONETIZE AI FASTER THAN MAINTENANCE ECONOMICS ERODE?

We believe this may become one of the most important strategic questions for the company over the coming years.

If maintenance revenue faces relatively small but growing competitive pressure, SAP's ability to create new revenue pools becomes increasingly important. AI represents the most visible opportunity in this regard. Management's long-term ambition is not simply to protect the existing revenue base, but to expand customer spending through new capabilities and higher-value software

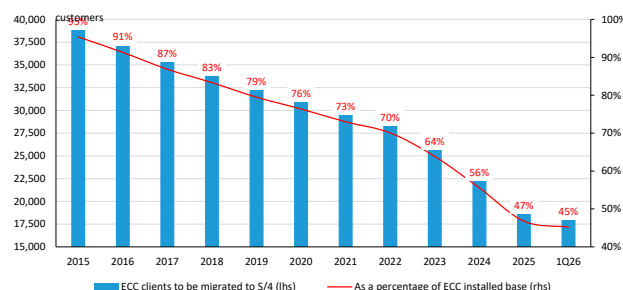
consumption.

From an investor perspective, the key issue is whether AI-related monetization can outpace any potential erosion in traditional maintenance economics. If AI-driven offerings generate meaningful incremental value for customers, SAP may be able to offset pricing pressure and expand wallet share despite a more competitive support environment.

Conversely, if AI adoption primarily becomes a feature expectation rather than a distinct source of monetization, the financial benefits may be less meaningful even though strong feature set would be an incentive to migrate to Cloud. In that scenario, maintenance pressure would become more visible in overall economics.

The ultimate outcome will depend on SAP's ability to convert technological leadership into durable commercial value. The debate is therefore not simply about AI adoption, but about AI monetization.

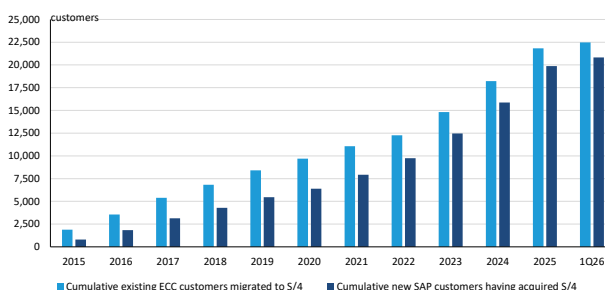
EXHIBIT 7: **SAP: ECC clients to be migrated to S/4**



2024-25 and 1Q26 are Bernstein estimates

Source: SAP (FY to end-December), Bernstein analysis and estimates

EXHIBIT 8: **SAP: S/4 customers by category**



2024-25 and 1Q26 are Bernstein estimates

Source: SAP (FY to end-December), Bernstein analysis and estimates

WHAT PORTION OF THE MAINTENANCE POOL IS TRULY VULNERABLE?

This is arguably where the analysis can provide the most incremental insight.

A common reaction to the ruling is to view SAP's entire maintenance revenue base as potentially at risk. Such an approach risks overstating the impact. Not all maintenance revenue is equally exposed.

Instead, we believe investors should think about the approximately €10.5bn maintenance pool as a collection of distinct layers with different risk profiles.

At the lowest end of the risk spectrum are strategic systems that remain deeply embedded in mission-critical business processes. Customers running these environments often prioritize stability, vendor accountability, ecosystem access, and long-term platform evolution, making maintenance substitution less attractive.

A second layer consists of migration-ready environments. These customers are already progressing toward future SAP architectures and therefore have less incentive to fundamentally alter their support model. While they may use TPSS as a negotiating tool, their long-term destination remains largely unchanged.

Higher risk exists within legacy ECC environments where migration timelines remain uncertain or where transformation projects have been repeatedly postponed. These customers have a stronger economic rationale to evaluate alternative support arrangements if doing so allows them to extend asset life and reduce costs.

The most exposed segment may be under-utilized or non-core installations. In such cases, customers may perceive limited benefit from paying premium maintenance rates and therefore become more willing to explore independent support options.

This layered view suggests that vulnerability across the maintenance base is highly uneven. The relevant investment question is not how much maintenance revenue exists, but how much of that revenue is genuinely contestable.

CONCLUSION

The most important implication of the European Commission ruling is not that SAP's maintenance revenue suddenly disappears. Rather, it becomes increasingly contestable.

The debate is therefore moving away from customer migration volumes and toward customer economics. Investors should spend less time asking how many ECC customers will migrate and more time assessing the profitability, pricing power, and monetization potential associated with each migration.

Ultimately, the size of the TPSS market may prove less important than the degree of leverage it gives customers. SAP's long-term success will depend on its ability to absorb that leverage while continuing to convert its remaining ECC installed base into high-value, profitable cloud relationships. The central investment question is no longer whether customers move, but how much value SAP can retain and create as they do.

FROM MIGRATION VOLUME TO MIGRATION ECONOMICS

Overall, we do not believe the European Commission ruling fundamentally alters the long-term strategic direction of SAP's installed base. The vast majority of customers will continue to require a long-term ERP modernization strategy, and for many organizations S/4 remains the most logical destination. We estimate that more than half of ECC customers had migrated to S/4 as of 1Q26, yet a substantial installed base remains to be converted, highlighting both the scale of the remaining opportunity and the complexity of the migration challenge.

What has changed is the mechanism through which that migration is likely to occur.

Historically, SAP benefited from a relatively clear deadline-driven narrative. End-of-support milestones, reinstatement penalties, maintenance lock-in, and limited support alternatives created strong incentives for customers to migrate according to SAP's timetable. The Commission's ruling weakens many of those mechanisms and gives customers greater flexibility to design support and modernization strategies around their own economic and operational priorities.

Importantly, we do not view this as a direct transfer of SAP's maintenance revenues to third-party providers. Even under an optimistic scenario, the estimated SAP-related third-party support market remains relatively small compared with SAP's €10.5bn maintenance revenue base. The larger impact is indirect. Third-party support creates leverage. Customers now have more credible alternatives when negotiating maintenance renewals, migration incentives, cloud conversions, pricing protections and transformation roadmaps. The economic effect of that leverage may ultimately prove more significant than the actual revenues captured by third-party providers themselves.

The practical outcome is likely to be a more fragmented and customer-specific migration landscape. Some organizations will accelerate migration to access cloud innovation and AI capabilities. Others will negotiate more attractive commercial terms before proceeding. Some will combine SAP Customer Specific Maintenance and third-party support to buy additional preparation time. Others may continue operating ECC environments for significantly longer than previously anticipated. Gartner's framework of substitute, provisional, supplemental and contingent support models suggests that there is no longer a single migration path for all SAP customers.

For SAP, this means that maintenance can no longer function primarily as a forcing mechanism. The company increasingly needs to compete on value rather than urgency. We believe SAP's strongest defenses are likely to come from commercial flexibility, differentiated cloud functionality, AI innovation, Data Cloud, BTP, Joule, and its broader product ecosystem. Third-party providers may compete effectively on maintenance costs, but they are unlikely to replicate SAP's investment capacity, product roadmap, ecosystem breadth or long-term innovation agenda. The challenge for SAP is therefore not preserving maintenance revenue at all costs, but converting maintenance flexibility into deeper, higher-value cloud relationships.

A less discussed consequence of the ruling is its potential impact on SAP's profitability. Historically, maintenance has been one of SAP's most attractive revenue streams, benefiting from gross margins above 90% and contributing disproportionately to group profit. Under the previous framework, contractual constraints limited customers' ability to selectively reduce maintenance spending, helping protect this highly recurring profit pool. The European Commission's ruling introduces greater flexibility, allowing customers to evaluate third-party support options at the installation level and potentially reduce maintenance coverage on non-core environments. While we do not expect a material decline in maintenance revenue in the near term, even modest attrition could have an outsized effect on profitability given the exceptionally high margins associated with support revenue. As a result, the debate extends beyond migration volumes and cloud conversion rates. Investors must also assess whether SAP can offset any pressure on maintenance profits through cloud subscriptions, AI-related upselling, modernization services, and broader wallet-share expansion. In other words, the key question is no longer simply how many customers migrate, but whether SAP can preserve the economics of its installed base as customer choice expands.

Ultimately, the investment debate is evolving. Investors should focus less on whether customers migrate and more on how SAP monetizes the journey. The critical questions are whether greater customer flexibility improves or delays migration outcomes, whether SAP can maintain pricing discipline while offering richer incentives, whether AI accelerates or postpones ERP transformation decisions, and how much value SAP can capture from the remaining ECC installed base.

Viewed through this lens, the European Commission ruling does not make SAP's maintenance revenues disappear. It makes a portion of them contestable. The central issue for investors is no longer migration volume, but migration economics, customer leverage, and SAP's ability to transform a weaker maintenance moat into a stronger cloud and AI franchise.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: SAP: income statement

€m	FY25	FY26e	FY27e	FY28e	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e
Software revenue	990	734	587	470	183	194	161	452	116	136	121	362
Cloud subscription and support revenue	21,023	25,976	32,310	39,666	4,993	5,130	5,290	5,610	5,962	6,338	6,623	7,053
Software and cloud subscription revenue	22,013	26,710	32,898	40,136	5,176	5,324	5,451	6,062	6,078	6,473	6,744	7,415
Support revenue	10,525	9,679	8,839	7,804	2,761	2,642	2,565	2,557	2,469	2,415	2,399	2,396
Cloud and Software revenues	32,539	36,389	41,736	47,940	7,938	7,966	8,016	8,619	8,547	8,889	9,142	9,811
Service revenue	4,261	4,249	4,755	5,459	1,075	1,061	1,060	1,065	1,007	1,026	1,090	1,126
Total Revenue	36,800	40,638	46,491	53,400	9,013	9,027	9,076	9,684	9,554	9,915	10,232	10,937
Cost of Cloud and Software	-6,462	-7,630	-9,054	-10,717	-1,541	-1,587	-1,621	-1,713	-1,767	-1,851	-1,927	-2,086
Cost of services	-3,192	-3,168	-3,593	-4,126	-840	-797	-759	-796	-774	-771	-782	-842
Research and development	-6,629	-7,084	-7,862	-8,818	-1,672	-1,617	-1,643	-1,697	-1,700	-1,734	-1,764	-1,886
Sales and marketing	-8,580	-9,157	-10,164	-11,206	-2,140	-2,088	-2,118	-2,234	-2,083	-2,250	-2,346	-2,477
General and administrative	-1,469	-1,461	-1,649	-1,855	-357	-358	-360	-394	-342	-379	-390	-350
Other	-48	-22	0	0	-8	-11	-8	-21	-22	0	0	0
Total Operating Expenses	-26,381	-28,522	-32,323	-36,721	-6,558	-6,458	-6,510	-6,855	-6,688	-6,985	-7,208	-7,641
Non-IFRS operating income	10,537	12,219	14,284	16,810	2,455	2,569	2,566	2,829	2,890	2,955	3,050	3,325
Non-IFRS operating margin (%)	28.6%	30.1%	30.7%	31.5%	27.2%	28.5%	28.3%	29.2%	30.2%	29.8%	29.8%	30.4%
Other non-operating income	118	103	116	132	10	-3	46	65	24	25	26	28
IFRS operating income	10,419	12,117	14,168	16,678	2,465	2,566	2,612	2,894	2,866	2,930	3,024	3,297
IFRS operating margin (%)	28.3%	29.8%	30.5%	31.2%	27.3%	28.4%	28.8%	29.9%	30.0%	29.6%	29.6%	30.1%
Financial Income, net	-229	-8	-40	321	-83	-42	-43	-61	-58	41	7	3
Income from continuing operations before tax	10,308	12,212	14,244	17,131	2,382	2,524	2,569	2,833	2,832	2,996	3,057	3,327
Taxes	-3,132	-3,579	-4,273	-5,139	-701	-777	-717	-937	-830	-878	-896	-975
Income from continuing operations	7,176	8,633	9,971	11,991	1,681	1,747	1,852	1,896	2,002	2,118	2,161	2,352
Net Income	7,176	8,633	9,971	11,991	1,681	1,747	1,852	1,896	2,002	2,118	2,161	2,352
Non controlling interests	-10	-1	0	0	-2	6	-6	-8	-1	0	0	0
Net Income attributable to SAP	7,166	8,632	9,971	11,991	1,679	1,753	1,846	1,888	2,001	2,118	2,161	2,352
EPS-Basic - Continued Operations	6.15	7.55	9.02	11.08	1.44	1.50	1.59	1.62	1.72	1.84	1.90	2.09
EPS-Diluted - Continued Operations	6.10	7.54	9.02	11.08	1.43	1.49	1.58	1.61	1.71	1.84	1.90	2.09

Source: SAP (FY to end-December), Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	16 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
SAP.GR (SAP)	O	EUR	140.70	276.00	(64.5)%	EUR	6.10	7.54	9.02	23.1	18.7	15.6
SAP (SAP)	O	USD	161.64	323.00	(67.5)%	EUR	6.10	7.54	9.02	23.1	18.7	15.7
EDME			1,598.24									
SPX			7,533.77									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**SAP SE**

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year's time (€9.37), apply a P/E multiple of 29x, and add net cash per share of (€3.81), arriving at price target of €276.

We then value the SAP ADR shares at \$323, using the SAP GR price target of €276 and the EUR/USD FX rate at the time of updating the model.

SAP SE

We value SAP.GR shares based on our estimate for 12-month EPS in 1 year's time (€9.37), apply a P/E multiple of 29x, and add net cash per share of (€3.81), arriving at price target of €276.

We then value the SAP ADR shares at \$323, using the SAP GR price target of €276 and the EUR/USD FX rate at the time of updating the model.

RISKS**SAP SE**

Risks to our price target for SAP ADR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

SAP SE

Risks to our price target for SAP.GR include: slower than expected adoption of S4/HANA; lower than expected upsell into existing customers of additional modules and SaaS solutions; lower than expected growth of SAP SaaS offerings; lower than expected adoption of SaaS S4/HANA; slower migration of SAP's Cloud offerings to the hyperscale providers; issues with SAP driving margin improvement.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian

(ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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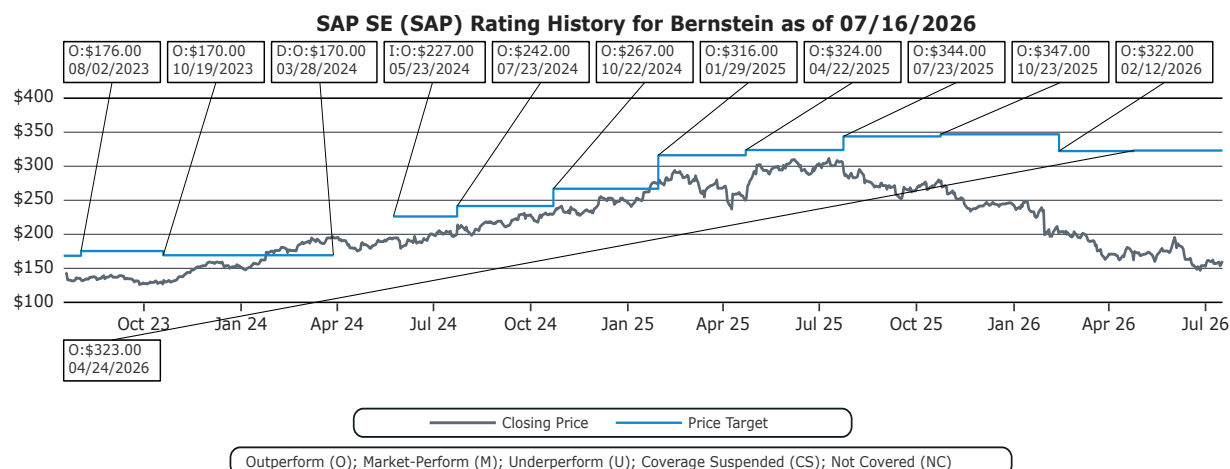
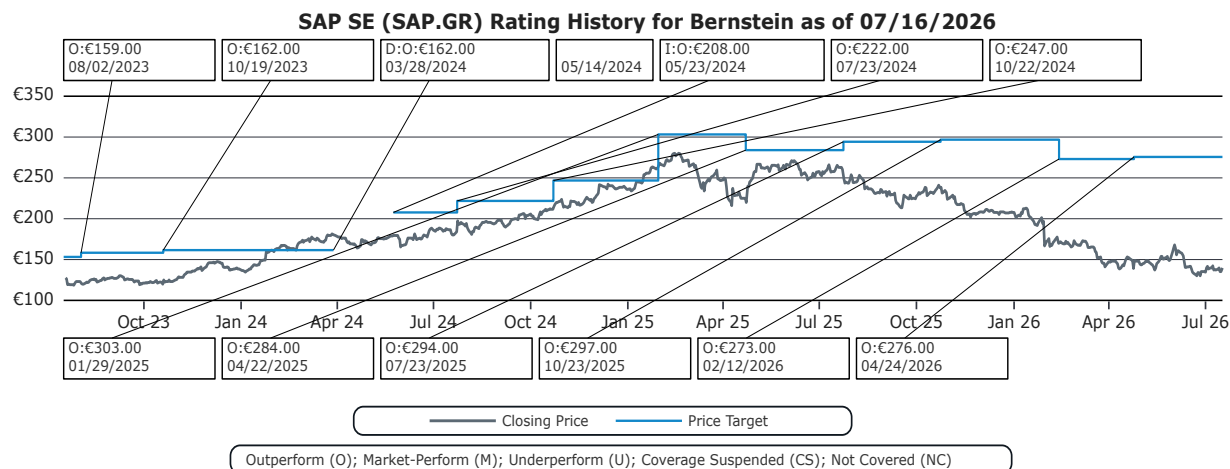
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